IWT Cadence: The Luxury Sales Nowcasting Model

Methodology accompanying *The Shape of Differentiation: Luxury's Third Quarter of 2026*

October 2026. Figures are from the reading of 28 October 2026.

IWT Cadence forecasts the sales growth of the luxury industry at half-year frequency and updates every weekday. It separates what luxury houses sell from what exchange rates do to the euros they report. The first layer is a structural model of demand at constant currency, anchored in global wealth and Chinese output. The second is a translation layer which converts each house's sales into its reporting currency from its regional mix and daily exchange rates. For the current half-year, a bridge from published third-quarter sales supplies a nowcast, combined with the model in proportion to each one's historical accuracy. Demand moves slowly and is re-estimated when companies report. Currency moves daily and is re-read every morning. The model is estimated in R, and every input carries its source.

The revenue index

The index covers 17 listed houses: LVMH, Kering, Hermès, L'Oréal, EssilorLuxottica, Richemont, Burberry, Hugo Boss, PVH, Ralph Lauren, Prada, Moncler, Swatch, Tapestry, Brunello Cucinelli, Zegna, and Capri. Nine houses carry the series from 2003 to 2014; the panel reaches 16 by 2023. Each house's growth in half-year t is measured against the prior-year comparative stated in the same release, so restatements carry through as the companies made them. Aggregate growth is a Laspeyres average, with each house weighted by its prior-year revenue for the same half, converted to euros at the prior year's average rate:

$$g_t = \sum_i w_{i,t}\, g_{i,t}, \qquad w_{i,t} = \frac{R^{\mathrm{EUR}}_{i,t-2}}{\sum_j R^{\mathrm{EUR}}_{j,t-2}}, \qquad I_t = I_{t-2}\,(1 + g_t) \tag{1}$$

Three breaks are handled explicitly. Kering enters in 2015, since earlier figures describe PPR group revenue. EssilorLuxottica's 2018–19 halves use the company's pro-forma growth, so the merger with Essilor does not register as luxury growth. Other acquisitions, including Tiffany, GrandVision, Stone Island, Tom Ford Fashion, and Versace, remain in reported growth as published.

Currency translation

The translation layer is described first, because the demand model is estimated on what it removes. Each house's revenue is mapped to seven currency blocs (the euro, US dollar, renminbi, yen, sterling, Swiss franc, and an equal-weighted basket of the Korean won, Singapore dollar, and Hong Kong dollar) through its published regional mix for the nearest fiscal year. The translation effect for house i in half t is the share-weighted change in the half-year average value

of each currency, expressed in the house's reporting currency, against the same half a year earlier:

$$\tau_{i,t} = \sum_{c} s_{i,c} \left(\frac{\bar{A}_{c,t}}{\bar{A}_{c,t-2}} - 1 \right), \qquad FX_t = b \sum_{i} w_{i,t}\, \tau_{i,t} \tag{2}$$

Averages use the European Central Bank's daily reference rates. Days not yet observed in the current half are filled at the latest fixing, so the currency effect for the current half firms up as the half elapses; at the 28 October reading, 58 percent of 2026 H2 had been observed. The pass-through coefficient *b* is estimated from the 166 house-halves in which a house reports both reported and organic growth. Regressing the gap between the two on the computed effect gives a slope of 0.81 (standard error 0.03) and an R^2 of 0.85; the remaining gap reflects acquisitions, disposals, and hedging. The slope is applied as the pass-through. Stripping the effect from each house's reported growth gives a constant-currency index running from 2004 to 2026, on which the demand layer is estimated. The two layers recombine multiplicatively:

$$1 + g_t = (1 + g_t^{\text{cc}})\,(1 + FX_t) \tag{3}$$

Constant-currency demand

The demand model relates the log level of the constant-currency index to the log of a three-half moving average of half-year average S&P 500 closes, the log of Chinese real GDP, and four deterministic terms: a permanent step from 2021, a temporary boom for 2021–23, the pandemic year 2020, and the second half-year.

$$\ln I_t^{\text{cc}} = \alpha + \beta_1 \ln \overline{SPX}_t^{(3)} + \beta_2 \ln Y_t^{CN} + \gamma_1 S_t + \gamma_2 B_t + \gamma_3 C_t + \delta H_t + \varepsilon_t \tag{4}$$

Term	Estimate	t-statistic
S&P 500, log (β_1)	0.171	1.69
China real GDP, log (β_2)	0.729	9.57
Step from 2021 (γ_1)	0.094	1.53
Boom 2021–23 (γ_2)	0.013	0.34
Pandemic 2020 (γ_3)	−0.179	−4.41
Second half-year (δ)	0.069	5.62

Sample 2004 H2 – 2026 H1, 44 observations; Newey–West standard errors. Adjusted R^2 0.989; residual standard error 0.049. Engle–Granger residual test −4.89 against a 5 percent critical value of about −4.3. Breusch–Godfrey (order 2) p = 0.02, addressed by the Newey–West errors; Jarque–Bera p = 0.80; RESET p = 0.81.

Removing translation changes the model's account of luxury demand. On reported growth, the euro carried a coefficient of −0.37 (t = −2.67) and the S&P 500 an elasticity of 0.09. On constant-currency growth, the euro's coefficient falls to zero (t = −0.3) and is dropped, and the equity elasticity nearly doubles to 0.17. The euro was never a driver of demand; it was a driver of translation, absorbed into the demand equation for want of a separate layer. Equity wealth,

freed of that confusion, becomes a clearer influence. The step and boom terms let the post-2021 rise be part permanent and part temporary.

The demand layer is projected under deliberately neutral driver assumptions: the S&P 500 holds at its latest close, and Chinese real growth follows the IMF path of 4.4 percent in 2026 H2 and 4.0 percent in 2027. The latest gap between actual and fitted values is carried forward in full. A rolling-origin test over 23 half-years favours this treatment, with a one-half-ahead root mean squared error of 3.5 points, against 4.6 when the gap decays at the residuals' autocorrelation of 0.27, and 5.9 when it is closed.

A variant allows the China elasticity to change from 2024. The interaction is −0.60 (t = −1.81), leaving a post-2024 elasticity of about 0.12. The variant supplies the "if China stays weak" path in each reading. Variables tested and rejected include the VIX, the Shanghai Composite, US and euro-area GDP, University of Michigan consumer sentiment, and Chinese house prices (BIS).

The nowcasting bridge

Most houses publish sales for the first quarter of each half-year: January to March for the first half, July to September for the second, and April to June and October to December for Richemont. The bridge regresses half-year index growth on the revenue-weighted growth of those first quarters:

$$g_t^H = a + b\, g_t^Q + u_t \tag{5}$$

Over 2015 H1 to 2026 H1, the estimates are a = −1.32 and b = 1.18 (t = 12.9), with R^2 of 0.89 across 23 half-years. The leave-one-out error, excluding 2020–21, is 2.9 points. Third-quarter 2026 results from eight houses, covering 80 percent of index weight, give a first-quarter aggregate of 5.1 percent. Exchange rates imply a larger currency effect for the half as a whole (2.2 points) than for the third quarter alone (1.2 points), so the bridge is adjusted by the difference, which adds 1.0 point. The adjusted nowcast for 2026 H2 is 5.7 percent.

Combination and the current reading

For the current half, the nowcast and the two-layer model are combined in inverse proportion to their squared errors:

$$\hat{g}_t = \omega\, g_t^{\text{now}} + (1-\omega)\, g_t^{\text{model}}, \qquad \omega = \frac{1/\sigma^2_{\text{now}}}{1/\sigma^2_{\text{now}} + 1/\sigma^2_{\text{model}}} = 0.64 \tag{6}$$

The weights reflect a bridge error of 2.9 points and a model error of 3.9 points. Later halves come from the two-layer model, with 2027 H2 re-based on the combined 2026 H2. Intervals combine the demand model's prediction interval with the uncertainty of exchange rates over the unobserved part of each half.

Half	Reported	80% range	Constant currency	Currency	China weak
2026 H2	6.8%	3.8 to 9.8	4.4%	+2.3 pts	7.1%
2027 H1	8.6%	0.9 to 16.3	5.4%	+3.0 pts	6.3%
2027 H2	7.2%	−1.2 to 15.5	6.2%	+0.9 pts	5.3%

Reading of 28 October 2026: ECB reference rates to 27 October (EUR/USD 1.1150); S&P 500 close of 7,722.60 on 27 October. An equity correction of 10 percent, easing to 5 percent by the end of 2027, with Chinese growth of 3.5 percent in 2027, lowers reported growth to 7.4 percent in 2027 H1 and 5.7 percent in 2027 H2.

Evaluation

Estimated through 2023 H2 and used to predict 2024 H1 to 2026 H1, the two-layer model forecasts reported growth with a root mean squared error of 3.9 points and a bias of +1.7 points. The single-layer model it replaces, estimated on reported growth with the euro as a regressor, scores 6.5 points with a bias of +5.1. Most of the improvement comes from translation: once currency is measured rather than estimated, the demand equation no longer mistakes currency for demand.

Daily operation

Each weekday morning, the reading takes the previous day's S&P 500 close, the month-to-date average of daily closes, and the latest ECB reference rates, and recomputes the currency effect and demand path. When a house publishes sales, its figures enter the company files and the demand model is re-estimated. A change of 0.3 points or more in any forecast half is treated as material. Each reading records its inputs, outputs, and change from the previous reading in a running log.

Supporting analyses

A panel of 15 houses estimates growth with house and period fixed effects and standard errors clustered by house. Asia revenue share interacted with Chinese growth carries a coefficient of 6.6 (t = 4.7); Americas share interacted with S&P 500 growth carries 1.2 (t = 2.0). Regional exposures are 2019–25 averages, with Asia covering Greater China, other Asia, and Japan, because houses define China differently. The price and volume evidence combines Chanel Classic Flap US list prices, Hermès's stated price increases, Swiss wristwatch export values and units from the Federation of the Swiss Watch Industry, Italian leather goods exports by value and weight from Istat via Assopellettieri, and US consumer prices for jewellery and watches from the Bureau of Labor Statistics.

Limitations

- The demand model rests on 44 half-year observations, and its prediction intervals widen quickly beyond the current half.
- The equity elasticity is imprecisely estimated once serial correlation is allowed for (Newey–West t = 1.69).
- Regional mixes are annual and some are estimated from partial disclosure; fixed splits within each region approximate the true currency mix.
- The pass-through coefficient treats hedging as stable across houses and years.
- The 2026 H1 index covers 13 houses; Burberry, Richemont, and Ralph Lauren report on other fiscal calendars, and Capri is not yet included.
- Before 2015, the index uses the earlier workfile series, whose half-year splits are uneven for some houses.
- The China-decoupling variant is identified from five half-years and should be read as a scenario.

Sources

Company half-year, quarterly, and annual releases for the 17 houses in the index (2015–2026), and the IWT EViews workfile (2003–2024); regional revenue mixes from company annual reports; exchange rates from the European Central Bank (euro foreign exchange reference rates); S&P 500 monthly averages from multpl and daily closes from market data; China GDP from the National Bureau of Statistics; China residential property prices from the BIS via FRED; IMF World Economic Outlook, October 2026; Swiss watch exports from the Federation of the Swiss Watch Industry; Italian leather goods exports from Istat via Assopellettieri; US consumer prices from the Bureau of Labor Statistics; Chanel and Hermès list prices from reseller compilations, company statements, and press reports.